

Swiss Institute of Banking and Finance



University of St.Gallen

Case Study Session 4: Aviva Investors

3,130/4,130 Corporate Finance

Objectives

1. Understand the motivation behind long-term investments and their connection to ESG
2. Understand shareholder engagement
3. Understand proxy-voting
4. Understand the importance of data disclosure
5. Excursus: Gain insights into the SFAP and SFDR

Outline

1. Recap: Separation of ownership and control, including proxy contests
2. Introduction of Aviva Investors
3. Long-term investments and ESG
4. Shareholder engagement and proxy-voting
5. Data disclosure
6. Excursus: SFAP and SFDR

1. Recap: Proxy Contests

- A proxy is a vote cast by one person as a representative of another. Aviva Investors casts proxy votes on their clients' behalf.
- In a proxy contest, shareholders attempt to get enough proxies to elect their own candidate to the board.
- Proxy contests involve the firm's existing management and directors competing with outsiders for control.
- A growing number of activist investors funds campaign for changes in management policy.
- If they gain sufficient shareholder support, the firm may solve the problem without entering a proxy fight (e.g., Dan Loeb and Nestlé).

2. Aviva Investors – A Real Case

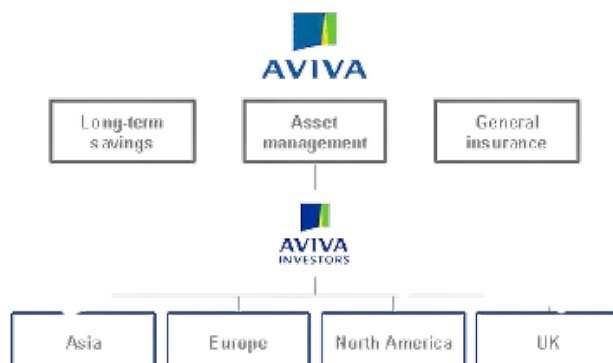
Aviva Investors

Aviva Investors is one of the largest asset management companies in the UK with roots going back over 300 years. Aviva Investors is a part of Aviva plc. The company and its policies are described as they were in 2015.



Structure

100% held by Aviva plc.



Asset Structure (2012)

Total: £250 billion in assets under management

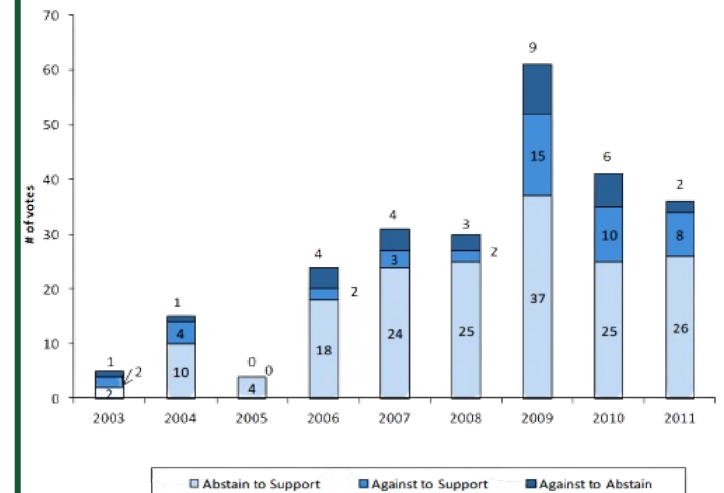
Equities: 20%

Fixed Income: 66%

Real Estate: 10%

Cash & Others.: 4%

Proxy Voting Evolution



3. What is ESG?

ESG aims to incorporate environmental, social, and governance (ESG) factors in the investment decision of investors so that such investments facilitate firms' effort to run their businesses sustainably.

Environmental

- climate change – including physical risk and transition risk
- resource depletion, including water
- waste and pollution
- deforestation

Social

- working conditions, including slavery and child labor
- local communities, including indigenous communities
- conflicts
- health and safety
- employee relations and diversity

Governance

- executive pay
- bribery and corruption
- political lobbying and donations
- board diversity and structure
- tax strategy

Principles for Responsible Investment

<https://www.unpri.org/pri/what-is-responsible-investment>

3. Long-term Investments and ESG

3a. What is materiality and how can it relate to ESG?

3. Long-term Investments and ESG

3b. Aviva maintains a long-term viewpoint for investment decisions. Discuss the pros and cons of long-term investments for investors.

Pros

Cons

4. Shareholder Engagement

4a. Shareholder engagement includes how shareholders influence the companies in their portfolios. Which techniques does Aviva Investors use to engage with the firms in their portfolios?

4. Shareholder Engagement

4b. ESG considers corporate sustainability. Why is corporate sustainability important for Aviva and its portfolio companies?

4. Shareholder Engagement – Empirical Insights

- Engagement induces ESG rating adjustments: firms with poor ex-ante ESG ratings **increase their ratings** after **complying** with shareholders' demands.
- Risk-adjusted excess stock returns of successful engagements **outperform** those of unsuccessful engagements by 2.7%.
- Successful engagements **increase** the targets' **sales**.
- Successful engagement on ESG-issues **reduces** a firm's **downside risks**.

Sources: <https://doi.org/10.1007/s10551-021-04850-z> & <http://dx.doi.org/10.2139/ssrn.2874252>

4. Shareholder Engagement and Proxy-Voting

Proxy Statement:

A document with information on the directors of a company, conflicts of interests, compensation etc. enabling shareholders to make informed decisions. Filed in advance of annual meetings.

Proxy Firms:

Independent organizations that help to organize the proxy voting process and aggregate the votes via internet, phone, and email. They often offer advice on key issues. E.g., RiskMetrics ISS.

Direct Proxy Access:

Shareholders can include their propositions on the proxy materials of the company. Important for the nomination of board members in a proxy-contest.

4. Shareholder Engagement and Proxy-Voting

4c. Who are the important players in the voting process?

4. Shareholder Engagement and Proxy-Voting

4d. What is the free-rider problem economically speaking? How is Aviva Investors impacted by the free-rider problem?

4. Shareholder Engagement and Proxy-Voting

4e. What were the benefits for Aviva Investors arising from their engagement with Vedanta?

4. Shareholder Engagement

4f. Aviva impacts their portfolio companies through engagement. Another approach to combat issues such as climate change is divestment. What are the pros and cons of divestment?

Pros

Cons

5. Data Disclosure

5a. Why is non-financial information such as ESG-data important for investors, according to Aviva Investors?

5. Data Disclosure

5b. What are some KPIs of each of the three pillars of ESG that should be included in the non-financial reporting of a company?

5. Data Disclosure

5c. Stock exchanges today tend to include sustainability as a requirement for their listed companies' reporting practices. What are the pros and cons of mandatory ESG reporting?

Pros

Cons

6. Sustainable Finance Action Plan (SFAP)

The Sustainable Finance Action Plan was adopted in **2018** by the **European Commission**.

The plan is part of a wider Sustainable Finance Framework which is backed by a broad set of approved regulations including:

- A unified, clear, and detailed EU classification system for sustainable activities called **EU' taxonomy**;
- Investors' duties and disclosures called **Sustainable Finance Disclosure Regulation**;
- **Low-carbon benchmarks**;
- **Better advice to clients** on sustainability.

6. Sustainable Finance Action Plan (SFAP)

The SFAP has **three** main objectives:

- To **reorient capital flows towards sustainable investment** and away from sectors contributing to global warming such as fossil fuels.
- To **manage financial risks** stemming from climate change, resource depletion, and environmental degradation.
- To **foster greater transparency and long-termism** in financial and economic activity in order to achieve sustainable and inclusive growth.

6. Sustainable Finance Action Plan (SFAP)

Has the 2018 Action Plan addressed the key issues related to sustainable finance as planned?

Yes:

- **Planned actions focused** on how to improve **transparency**

with regards to which investments are sustainable and on how the financial sector and companies report on sustainability.

No:

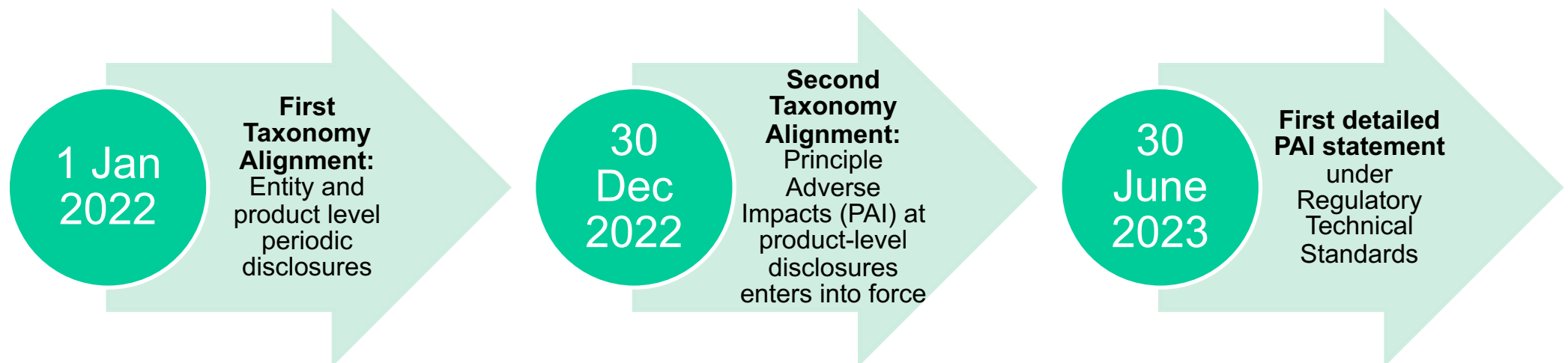
- Actions were **not accompanied by measures** to address the cost of unsustainable economic activities.
- **Little financial support** to climate adaptation projects.
- **Lack of consistent and binding requirement** on activities receiving EU financing.
- The EU Taxonomy has taken **longer than planned** to be completed.

6. Sustainable Finance Disclosure Regulation (SFDR)

The SFDR was introduced in **March 2021** by the **European Commission**.

It imposes **mandatory ESG disclosure requirements** on the entity and product levels addressing two key considerations:

- **Sustainability Risks and Principal Adverse Impacts.**



6. Sustainable Finance Disclosure Regulation (SFDR)

To whom does it apply?

- All financial market participants and financial advisors based in the EU.*

On which products?

- In-scope financial products including **investment and mutual funds, insurance-based investment products, private and occupational pensions**, and both **insurance and investment advice**.

*(investment firms, including asset managers which offer portfolio management services, pension providers, and insurance-based investors, as well as qualifying venture capital and social entrepreneurship activities.)

6. Sustainable Finance Disclosure Regulation (SFDR)

Goals:

- Provide more **transparency** on the impacts of financial products by classifying funds into three distinct categories:
 - Article 6: strategies either **integrate** environmental, social and governance considerations or explain why sustainability risk is not relevant.
 - Article 8: strategies **promote** social and/or environmental characteristics and may invest in sustainable investments.
 - Article 9: strategies have a **sustainable investment objective**.
- **Reorient capital towards more sustainable businesses.**
- Enabling comparisons for sustainable investment decisions.
- Finance growth in a sustainable manner.
- Prevent **greenwashing**.

6. Sustainable Finance Disclosure Regulation (SFDR)

Pros:

- **Greenwashing is less likely to be adopted** by asset managers – in other words, they cannot simply brand a product with an ESG or sustainable label, without being transparent about how this is achieved.
- Provides investors with an **improved ability to compare** investment options.

Cons:

- **Lack of differentiation** between genuine impact products and other sustainability-focused financial products.
- **Lack of clarity in SFDR definitions** raises concerns that they might lead to more greenwashing

6. SFAP and SFDR

6a. Does the implementation of the SFDR have an impact on Aviva Investors and Vedanta?

6. SFAP and SFDR

6b. Which benefits from reporting according to SFDR measures do you think would Aviva Investors gain?

Recap

- By expanding the concept of materiality to include ESG, a more holistic and long-term investment focus can be established.
- Shareholder Engagement can be conducted through a variety of techniques (e.g., proxy voting) and has a bigger impact but also a higher cost than divestment.
- Mandatory ESG reporting requirements benefit investors, stakeholders, and the companies themselves.
- The SFAP and SFDR are two pieces of legislation in the EU aiming to promote sustainable finance.

Literature

Mandatory readings

- Serafeim, G., Eccles, R. and Armbrester, K. Aviva Investors. Harvard Business School Case 9-112-047. December 2011. (Revised May 2015.)

Additional readings

- Waygood. S. (2014). A Roadmap for Sustainable Capital Markets.
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